

BEFORE THE FEDERAL MARITIME COMMISSION

SAMSUNG ELECTRONICS AMERICA, INC.

Complainant,

v.

SM LINE CORPORATION

Respondent.

Docket No. 23-01

**COMPLAINANT’S RESPONSE IN OPPOSITION TO RESPONDENT’S
SECOND MOTION FOR EXTENSION OF THE SCHEDULING ORDER**

Complainant Samsung Electronics America, Inc. (“SEA”), by and through its undersigned counsel, submits this Opposition to Respondent SM Line Corporation’s (“SM Line”) Second Motion for Extension of the Scheduling Order (“Motion”) filed on Friday, January 12, 2024.¹

SM Line’s Motion – requesting that the Presiding Officer further delay SEA from promptly executing its reparation claims for another month – makes clear that it failed to: (i) appropriately plan and allocate resources to adhere to the operative scheduling order; (ii) move forward with necessary discovery; and (iii) instead wasted valuable time on meritless attempts to bring in third parties to this matter. Each of SM Line’s arguments in support of its Motion fails:

- SM Line understood the complexity of this case since May 12, 2023 – more than 8 months ago – when it filed its Answer, and the Presiding Officer has twice extended the scheduling order, pushing out the due date for SEA’s reply brief by more than 4 months;
- Scheduling of depositions, including the possibility of multiple depositions each day in January 2024, has for months been negotiated and discussed among the parties’ counsel²;

¹ Footnote 1 of SM Line’s Motion, which inaccurately describes the settlement “conference” on January 10, 2024, is in blatant violation of the June 2, 2023 ALJ order that “[t]he parties are reminded *not* to state...their settlement positions in communication with the undersigned.”

² Belying the claimed difficulty, SM Line has now committed to produce all SM Line witnesses noticed for their depositions during the week of January 15 in any event, with the sole exception of Ms. Katie Han. The parties are in discussions as to how soon Ms. Han’ deposition can be taken so that the parties can jointly approach the Presiding Officer to allow this exception to the fact discovery cut-off. There may also be a need for a curative

- Despite having known the alleged involvement of certain third parties (which SM Line referenced by name in its Answer) for more than 7 months, SM Line inexplicably did nothing to seek third-party discovery until December 28, 2023 – in the midst of the year-end holiday season, months after the document production completion date, and a mere 22 days before the fact deposition cut-off; and
- Having known the amount of work necessary for months to observe the October 30, 2023 scheduling order, SM Line’s seasoned counsel cannot now claim to be overtaxed with other commitments.

In contrast, SEA expects, and is committed, to completing discovery, including expert work, in accordance with the current operative scheduling order. SM Line’s alleged “need” for more time is entirely of its own making and no good cause exists to grant SM Line’s Motion.

RELEVANT FACTS

Since the issuance of the initial Scheduling Order on June 2, 2023, this Court has already twice extended the deadlines (as summarized below) given “the volume of documents” involved and “the volume of discovery.” *See* Dkt. 14, 21, 31.

	Initial Scheduling Order (6/2/23)	Amended Scheduling Order (9/7/23)	Amended Scheduling Order (10/30/23)
Complete document production	August 18, 2023	October 17, 2023	N/A
Complete fact depositions	September 29, 2023	November 28, 2023	January 19, 2024
Expert discovery begins	October 2, 2023	December 1, 2023	January 22, 2024
Close of all discovery	October 9, 2023	December 22, 2023	February 9, 2024
Complainant’s brief, proposed findings of fact, and appendix	November 7, 2023	January 22, 2024	March 15, 2024
Respondents’ opposition brief, responses to proposed findings of fact, proposed findings of fact, and appendix	December 6, 2023	February 21, 2024	April 15, 2024
Complainant’s reply brief and responses to proposed findings of fact	December 20, 2023	March 6, 2024	April 29, 2024

deposition of an SM Line operations executive in Korea based on recent SM Line deponent testimony but SEA is unable to confirm this until the completion of depositions this coming week.

Having already completed its document production on August 18, 2023 (consistent with the initial scheduling order), since October 30, 2023 SEA has completed review of roughly “31,000 pages of documents” dumped by SM Line on the very last day of the document production, has followed up with SM Line to cure document deficiencies numerous times, and communicated with SM Line to schedule depositions.³ Events relevant to the Motion and this response include:

- November 22, 2023
 - SEA issued additional deposition notices and a subpoena for current and former SM Line employees, as well as the Rule 146(b)(3) notice;
- December 5, 2023
 - SM Line offered January 16 and January 19, 2024 for depositions of Mr. Kwangsoo (“KS”) Oh and Kwangkook (“KK”) Choi, respectively (the same dates for which their depositions are currently scheduled);
- December 7, 2023
 - SEA confirmed Mr. Oh and Mr. Choi’s deposition as offered by SM Line on December 5, 2023;
- December 19, 2023
 - SEA issued a notice of deposition for SM Line’s CFO (later identified as Mr. Ho-Yoon Kim);
- December 20, 2023
 - Following several emails between the parties, SEA informed SM Line that the parties should “schedule depositions of KK Choi (SML) and Jeung Choi (SEA) on the 19th” and that SEA is checking to have “Messrs. Rapske, Goedinghaus, and J. Choi to confirm their availability on the 17th, the 18th, and the 19th [of January]”;
- December 29, 2023
 - SEA confirmed “Jeong Choi’s availability for Jan 19 (and Mike Rapske on the 17th and Phil on the 18th). KK Choi should go on the 19th as well. ***Both sides have a full arsenal of lawyers ready to take and defend depositions on the same day in this matter***; there is no reason for either side to limit the deposition length....” (emphasis added)
- January 3, 2024
 - SEA approached SM Line to resume discussions concerning “[d]epositions in the third week of January, summarizing the then-effective schedule:

Monday	Tuesday	Wednesday	Thursday	Friday
15 MLK Day	16 SM: KS OH	17 SEA: Mike Rapske	18 SEA: Philip Goedinghaus SM: KK Choi (individual)	19 SM: KK Choi (corporate) SEA: Jeung Choi

³ SEA originally issued notices of deposition for six (6) SM Line employees on August 28, 2023.

- SEA further noted: “Given the number of lawyers involved in this matter and the fact that the 19th currently is the fact deposition cut-off, both parties must do what they can to meet that deadline; simply put, SM Line’s unexplained position that “We are NOT going to do two different depositions on the same day/time” is not good enough. ,,, With the CFO deposition yet to be scheduled, Mr. Oh, etc. ***there will be doubling up on dates needed to meet the 19th deadline.***” (emphasis added)
- January 13, 2024
 - After filing this Motion and despite its stated position that Mr. Ho-Yoon Kim is not available on January 17, SM Line changed its course and notified that “HY Kim/CFO will be at the deposition on 1/17/24 as noticed by SEA,” to which SEA promptly confirmed its availability and intent to proceed as offered.
- January 14, 2024
 - SEA issued the second amended notice for Mr. Kim’s (SM Line CFO) deposition.

See Ex. 1 (email exchange among counsel between November 22, 2023 and January 14, 2024).

As of this response, the parties have confirmed the following deposition schedule for the week of January 15:

	<i>Monday (15)</i>	<i>Tuesday (16)</i>	<i>Wednesday (17)</i>	<i>Thursday (18)</i>	<i>Friday (19)</i>
SM Line	MLK Day	Kwangsoo Oh	Ho-Yoon Kim	Kwangkook Choi	Kwangkook Choi
SEA	MLK Day	N/A	Michael Rapske	Philip Goedinghaus	Jeung Choi

ARGUMENT

SM Line’s Motion contends that the need for an extension of the scheduling order is necessary because SM Line and its counsel, in essence, “have [other] commitments to other legal proceedings.” (Mot. at 3-4.) As SM Line knows well, “requests to extend established deadlines will be reviewed for good cause even if parties agree to the extension.” Scheduling Order, Dkt. 14, at 2. As the movant, it is SM Line’s burden to establish good cause and “[w]hether good cause exists turns on the diligence of the moving party.” *Holmes v. Grubman*, 568 F.3d 329, 335 (2d Cir. 2009). “A scheduling order is not a frivolous piece of paper, idly entered, which can be cavalierly disregarded by counsel without peril.” *Johnson v. Mammoth Recreations, Inc.*, 975 F.2d 604, 610 (9th Cir. 1992) (quotation omitted). SM Line’s Motion admits that the goal set out is the

“prompt resolution of claims and disputes...” Mot. at 5. Yet, actions speak louder than words; SM Line is interested in only delaying, not adhering to, the operative scheduling order time after time.

A. SM Line’s Proposed Schedule Extension Is Unnecessary and Excessive

SEA agrees that “[f]airness is not just an issue for SM Line”, it is also an issue to SEA, and SM Line’s continued delay tactics have only caused further unfair delay in this proceeding. It is well-settled that a party must show good cause upon seeking the extension of a discovery deadline. *See Tpg Pressure, Inc., v. Omni Logistics LLC & Epic Freight Solutions LLC*, Docket No. 22-31, 2023 WL 6975011, (ALJ October 18, 2023) (rejecting a lengthy extension request made close to the due date for expert reports); *Ysn Imports Inc. D/b/a/ Flame King, v. Feige “peggy” Oberlander, U Shippers Group Inc., U Shippers Group Mgmt. Co., Inc.*, Docket. No. 21-02, 2022 WL 247912, at *3 (ALJ January 21, 2022) (denying extension that would unduly delay the proceeding). SM Line’s proposed extension is unnecessary and excessive as all remaining deadlines would be moved a minimum of three weeks, beyond the already extended four months.⁴

While SEA was amenable to extending fact discovery by seven weeks due to SM Line’s late document productions, there is no reason for further extension to accommodate SM Line’s inefficiency and refusal to move forward with discovery in accordance with the operative scheduling order. SM Line has failed to schedule and make available witnesses and to pursue third-party discovery expeditiously. At this junction, when depositions demonstrably fit within the remaining time allotted for them, there is simply no basis for SM Line’s request.

SM Line’s Motion flouts the underlying premise of the Commission’s rules: “secur[ing] the just, speedy, and inexpensive determination of every proceeding.” FMC Rule 502.1. The

⁴ *Bed Bath & Beyond Inc. v. Yang Ming Marine Transp. Corp.*, Docket No. 23-10, Order on Motions, *3 (ALJ January 11, 2024) (the presiding officer denied a joint motion to extend discovery deadlines, requested to allow both parties to run document searches, review and produce responsive documents finding the requested extension of 120 days “unreasonable” as it would set the completion of discovery almost nine months from the answer.)

proposed extension exceeds the entire time period originally allotted by the scheduling order for discovery, and would necessitate extending the overall case schedule beyond the statutory deadline for the initial decision, all without good cause.

B. The Complexity Of The Case – Well Known To SM Line For Months – Has Not Changed, And Does Not Warrant A Further Extension

SM Line claims it is necessary to extend the schedule due to the “complexity” of the proceeding. Mot at 5. But this does not provide a basis for this eleventh hour discovery schedule extension as SM Line has been well aware of the complexities and the scope of the tasks to be accomplished in this proceeding since filing its answer, and there has been no change in the “complexity” of the proceeding since that time. SM Line’s August 16, 2023 motion for an extension of the initial scheduling order (“August Motion”) shows that SM Line has been well aware of the complexities; indeed, a simple comparison to the August Motion shows that SM Line has reused, verbatim, many of the key arguments from it.

C. The Time Afforded For Expert Discovery Has Been Established, Is Reasonable, And Can And Should Be Met

SM Line’s counsel inexplicably claims now that the schedule should be extended because it is “unrealistic” for experts to complete their reports by February 9. Mot. at 4. This strains credulity as the Parties have been aware of the deadline for expert discovery since the current scheduling order was issued on October 30, 2023. SEA ensured its experts have also been aware of the deadline since October and they have been working diligently to ensure that they will meet the deadlines set. SEA does not need additional time for rebuttal reports and does not see any reason why the deadline for expert reports should be extended by four weeks. Further, the Motion claims the experts will be burdened as the more senior and knowledgeable witnesses are being deposed last in order, however as also noted by SM Line in the Motion, the order of witnesses has

been set for months. Mot. at 4. If for some reason SM Line has not properly prepared itself and its experts to work with the set deposition schedule it does not warrant an extension.

Additionally, this Motion is the first SEA has heard from SM Line that it believes an extension is necessary to allow experts to complete their reports. Much like the issue raised by SM Line in relation to deposition translators, addressed further below, the issue of the experts not having sufficient time to complete their reports is an issue disingenuously manufactured by SM Line to justify yet another delay in this proceeding.

D. SM Line's Faulty Claim That SEA Or Its Counsel Has Created Difficulties Is Incorrect and Belied By The Record

As discussed above, extensive, months-long email correspondence among the parties' counsel definitively refutes any notion that SEA or its counsel has "suddenly" decided to hold two depositions per day during the week of January 15. *See* Ex. 1. Incorrect. SEA and its counsel at all times have engaged SM Line and its counsel and led the efforts to schedule the many depositions that needed to occur before the January 19 fact deposition cut-off.

SM Line also claims that absent extension, it will suffer a particular difficulty in the form of not having its lead counsel (Mr. Wook Chung) attend all remaining depositions. Mot. at 2, n. 2. This is not a reasonable ground to move all deadlines in the case. Mr. Chung has not asked a single question or raised an objection in any of the depositions to date; rather, the four other counsel who have appeared for SM Line have done so. Mr. Chung may certainly continue to observe the depositions taken and defended by others at his firm, as SM Line wishes him to do based on the disclosure in footnote 2 of the Motion, and he can learn what transpired at those he does not attend from the transcripts. But his mandatory attendance does not constitute good cause for an extension.

Equally unavailing is SM Line's conclusory and wholly unsupported assertion that the remaining deposition schedule – despite months of notice – is unworkable because SM Line's

counsel made prior commitments to other unidentified legal proceedings. But SM Line backloaded its deposition commitments as part of its litigation strategy, and this does not provides good cause to extend the discovery schedule. *See, e.g., Lynch v. Waitman*, No. 94 Civ. 0265(LAK)(BAL), 1995 WL 7991, at *3 (S.D.N.Y. Jan. 10, 1995) (“The press of other business does not amount to good cause for failure to complete discovery.”); *Agile Sky Alliance Fund LP v. RBS Citizens, N.A.*, No. 09–cv–02786–MSK–BNB, 2011 WL 378842, at *2 (D. Colo. Feb. 2, 2011) (“Delay due to the press of other business does not give rise to good cause to extend deadlines.”)

E. No Further Extension Should Be Given For SM Line’s Failure To Diligently Pursue Third Party Discovery, Despite Having Had Ample Time To Do So

SM Line further asserts that the motion practice concerning non-party Samsung SDS America, Inc.’s (“SDSA”) “will also require additional time to confront this proceeding as well.” Mot. at 4. Rather than issuing third-party discovery requests during the six (6) months since answering SEA’s complaint, SM Line opted to pursue third-party complaints against Samsung SDS Asia Pacific PTE. LTD (“SDS”) and Samsung Electronics Logitech Co., Ltd. (“Logitech”) instead, and then on Friday, January 5, 2024 decided to subpoena Logitech and SDSA for documents. Only SDSA was properly served and, unsurprisingly, has moved to quash.

As for subpoena to Logitech – a corporation based in South Korea – SM Line must comply with the Hague Convention, which as shown by SEA’s service of a subpoena on Mark Lee, will require several additional months. SM Line neglected to timely pursue third-party discovery and is now inviting the Presiding Officer to fix this mistake; the Presiding Officer should decline to. *See Burlington Coat Factory Warehouse Corp. v. Esprit De Corp.*, 769 F.2d 919, 927 (2d Cir. 1985) (upholding denial of further discovery where movant “had ample time in which to pursue the discovery that it now claims is essential”); *Harnage v. Pillai*, No. 3:17-cv-00355 (AWT)(SALM), 2018 WL 2465355, at *6-7 (D. Conn. June 1, 2018) (declining to extend

discovery period where movant passed up “ample opportunity to pursue the evidence during” existing discovery period).

CONCLUSION

SEA respectfully requests that SM Line’s Motion for Extension of the Scheduling Order be denied in its entirety. SEA reserves the right to seek sanctions, including attorneys’ fees and costs, in connection with having to oppose this frivolous Motion as well as unnecessary delay and work generated solely by SM Line’s bad-faith litigation tactics.⁵

Dated: January 16, 2024

Respectfully submitted,

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⁵ SM Line’s erratic conduct during the deposition of Ms. YeonHui Yi – ordering a witness not to answer questions because of an unfounded objection to an eminently qualified translator, requesting an emergency hearing on this issue – is not zealous advocacy, but bad-faith, vexatious conduct, deserving of sanctions in due course. *See Jurczenko v. Fast Prop. Solutions, Inc.*, No. 1:09 CV 1127, 2010 WL 2891584, at *3 (N.D. Ohio July 20, 2010) (a court may impose sanctions, including in the form of reasonable expenses and attorney’s fees, “on a person who impeded, delays, or frustrates the fair examination of the deponent”); *see also* Fed. R. Civ. P. 30(d)(2). Under Rule 30(d) of the Federal Rules of Civil Procedure, sanctions are not just limited to obstructive behavior during a deposition, but may be and have been imposed on a party for behavior “that thwarted the setting or commencement of a deposition, rather than conduct occurring during a deposition.” *See OsteoStrong Franchising, LLC v. Richter*, Civ. No. 18-1184 KWR/JFR, 2020 WL 3448225, at *4 (D.N.M. Jan. 30, 2020).

Likewise, the instant Motion, replete with incorrect “factual” statements and disingenuous characterizations of the parties’ discussion, raises further questions and concerns regarding SM Line’s litigation tactics. SEA reserves the right to seek fees and costs in connection with having to oppose this frivolous Motion, as well as for its indefensible conduct during Ms. Yi’s deposition (and any other future depositions).

CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

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